Governor of the US Federal Reserve that ‘the only thing wrong with India… is the India Office.’[18] But Norman who had indulged Blackett on the question of sterling remittance saw his sympathy for a gold currency for India as seriously endangering monetary stabilization and recovery in Europe, and the future of the gold standard all over the world and particularly in England. He opposed the move and officials in London ended up designing a standard, the gold exchange standard, which was no different from the sterling-based exchange standard distrusted by Blackett and others in India.

Blackett lost the confidence of the Secretary of State, Lord Birkenhead, who doubted Sir Basil’s ability to pilot the Bill in a manner which would be in the best British interests. Also, the changes proposed were unacceptable to Birkenhead and in a letter to the Viceroy he wrote that it would be better to withdraw the Bill on the question of the constitution of the bank rather than on the question of a gold *mohur* which aroused strong nationalist sentiments. Though unhappy at abandoning the shareholders’ scheme, Birkenhead agreed to go ahead with the stockholders’ scheme provided it was the only concession required to secure passage of the Bill and on the understanding that the Board would not be subject to government control or in any way answerable to the Legislature.[19]

Mathur maintains that the private correspondence makes it very clear that it was the question of a gold *mohur* rather than the constitution of the bank which was of paramount importance to the India Office. Meanwhile, there were pleas from the Viceroy for an early passage of the Bill since he was aware that a failure could lead to an intensified agitation for a gold currency. But over time, Birkenhead’s attitude hardened, unhappy as he was with the proposed constitution of the Board and Blackett’s role in the whole affair. Writing to the Viceroy, he blamed Blackett for the mess and said that there would be no gold currency in the foreseeable future and that he would rather have ‘no bank than a bad bank’. He also raised the question of an inadequacy of reserves in financing the bank—the first time this issue was raised as a possible reason for delaying the RBI legislation. Birkenhead reverted to a hard line and asked the Viceroy to stick to the shareholders’ scheme. But when the matter was debated in the Assembly in August, there was continued resistance from the legislators to the shareholders’ scheme. Birkenhead was aghast at the compromise Blackett had agreed to ensure